

GENERATIVE AI – MARKET STRUCTURE & PRODUCT REALITY

Generative AI's Act Two: From Technology Hammer to Real Value

A data-forward narrative on why retention—not novelty—defines the next wave.

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Audience VC investors & founders

Frame Act 1 → Act 2

Six Decades of Technological Progress Converged to Enable Generative AI

Moore's Law

Compute horsepower to process exaflops of data.

The internet

Trillions of tokens of training data (accelerated by COVID).

Mobile + cloud

Distribution: a "supercomputer in every human's palm."

- ChatGPT's launch ignited a Cambrian explosion of products and research.
- Then: undifferentiated "AI copilot" pitches—and a growing whisper of terrible retention.

GenAI Startups Surpassed \$1B Revenue Faster Than SaaS Ever Did

Revenue from startups alone—months, not years (vs. SaaS).

Average session time in-app for Character.ai.

- ChatGPT: fastest-growing application in history (students + developers).
- Midjourney: reported hundreds of millions in revenue with 11 employees.
- Yet: many AI companies still lack product-market fit or durable advantage.

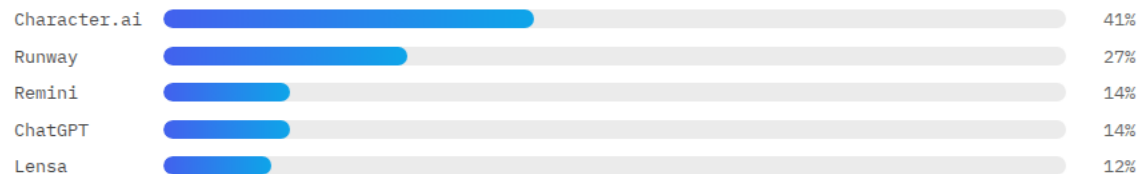
AI-First Apps Show 14% Median Retention vs. 51% for Incumbents

Median: 51%



Retention is the gating metric: **AI-first median 14% vs incumbent median 51%**

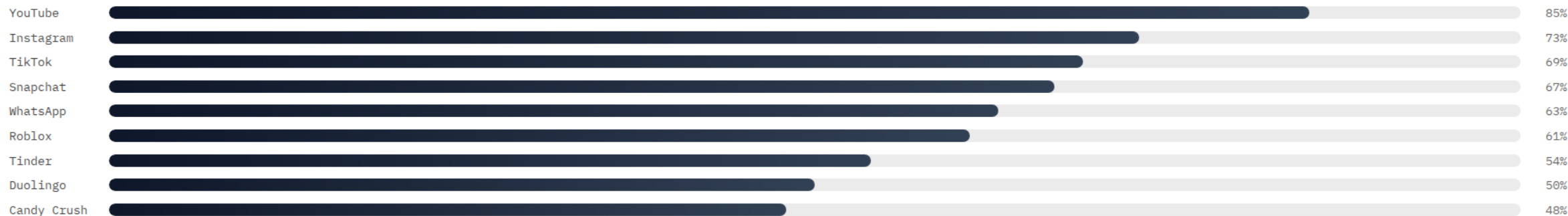
Median: 14%



Source: Sequoia (Sept 2023)

YouTube Leads Incumbents at 85% Monthly Active Usage

Median: 63%



Source: Sequoia (Sept 2023)

Incumbent engagement sets expectations: 63% median monthly usage

Act 1 Was Technology-Out; Act 2 Is Customer-Back

TECHNOLOGY-OUT

- Foundation model is the entire solution.
- Novelty demos; lightweight wrappers.
- Outputs feel magical once—then users churn.
- “Cool tech” outruns end-to-end value delivery.

CUSTOMER-BACK

- Foundation model is a piece of a comprehensive solution.
- New editing interfaces create stickier workflows and better outputs.
- Multi-modal, workflow-integrated, end-to-end problem solving.
- Competitive advantage comes from product + distribution + data loops.

Harvey – legal Glean – enterprise search Character – companionship Ava – companions

Act 2 reframes the product: **model $\neq$ product**

STRUCTURE FOLLOWS VALUE

Market Map Reorganized by Use Case, Not Model Modality

THEN → NOW

Modality → Use case

- Act 1: categories mapped to model modality (text, image, code).
- Act 2: categories mapped to end-user jobs-to-be-done.
- Applications increasingly blend modalities—multi-modal is the norm.

ILLUSTRATIVE USE-CASE LENSES

Harvey – legal

Glean – enterprise search

Character / Ava – companions

IMPLICATION

Value-first

- The market reorganizes around workflows that compound (not prompts that impress).
- Multi-modal + editing interfaces become the differentiators.
- Winners look like products with durable distribution and retention.

ACTIONABLE IMPLICATIONS

Key Takeaways: What Separates Winners in Act Two

- **Retention is the critical challenge:** AI-first median 14% vs. 51% for incumbents.
- **Foundation models should be a component, not the whole product.**
- **Multi-modal, workflow-integrated solutions** with new editing interfaces will win.
- **>\$1B startup revenue** proves real demand exists despite hype-cycle skepticism.
- **End-to-end human problem solving** defines Act 2 defensibility.

Builder Design for stickiness**Investor** Underwrite retention**Both** Bet on workflows